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History has an annoying habit of repeating itself, particularly through the utterances of politicians. In the 1980s, in order to explain away corruption, Indira Gandhi called it a global phenomenon. A couple of decades later, the Congress along with its UPA allies is caught in its most serious economic crisis yet and has told us, more than once, that inflation is a global phenomenon as well.

If low growth had been the hallmark of the previous NDA government's regime, the UPA had triumphantly claimed high growth and low inflation as its own. But in the last six months, despite whatever the UPA has done, inflation has risen from 3.89 per cent to 8.75 per cent.

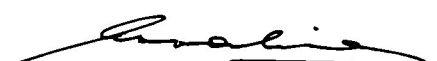
Its clearest impact is felt in neighbourhood markets where, as any housewife would tell you, the prices of key vegetables have gone up by over 50 per cent in a month. The cost of essentials like rice and wheat has risen every year over the last four years. As you read this issue, the aftereffects of the fuel price hike will begin to kick in. India now faces the very real prospect of double-digit inflation which will have a knock-on effect not just on prices but on manufacturing and productivity. The middle class, already paying higher interest rates on loans and tackling rocketing costs of living, will be squeezed even more.

The heady growth rates of the last few years could become a phenomenon of the past. The agenda of welfare for the common man that had delivered power back to the Congress and its allies in 2004 could end up as empty rhetoric.

It is evident that the Government, largely a victim of its own policies, has been unable to check this inflationary spiral. The UPA had made high growth, fiscal prudence and social spending its USPs. But in celebrating high growth, they forgot about inflation. In their enthusiasm for social spending, fiscal prudence was abandoned. The Government's total subsidy bill on and off the budget is estimated to push fiscal deficit to as high as 8 per cent of GDP.

Our comprehensive cover package this week on inflation was put together by Managing Editor Shankar Aiyar and Assistant Editor Nivedita Mukherjee. It looks at the macro and micro picture behind rising prices. The Board of India Today Economists brings to the table rational analysis of cause, consequence and possible cure and has assessed the Government on inflation management over a four-year period. We have also tracked middle-class families in their efforts to balance their household budget.

The dividends of three years of 9-plus per cent GDP growth is on its way to being eroded. As in 2004, with the NDA, the UPA Government too is faced with an India that is shining in part but that part either does not vote or doesn't count for much. Then there is Bharat, the other, larger part, that is suffering which, I am sure, will make its displeasure known at the polls.


(Aroon Purie)